UNIT V – Corporate Governance

23AS2701a · Business Ethics & Corporate Governance · JNTUA R23 B.Tech

1. Introduction & Meaning

- Company = separate legal person → run by **directors**, owned by **shareholders**
- **Separation of ownership & control** → managers may act for self → need for checks
- Scams (Enron, Satyam...) showed weak governance = value destroyed
- Governance = **rules, practices & processes** that direct & control a company

Definitions

- **Cadbury Committee (UK, 1992):** **"system by which companies are directed and controlled"**
- **OECD:** set of relationships between management, board, shareholders & stakeholders; gives structure for objectives & monitoring
- **SEBI / Birla Cttee:** acceptance by management of shareholders' inalienable rights; enhancing long-term value

CG = Direction + Control + Accountability to stakeholders

Need for Corporate Governance

- Protect **shareholders' & minority** interests
- Prevent frauds, insider trading, misuse of power
- Attract **investors** (FII/FDI), lower cost of capital
- Globalisation → listing abroad needs global standards
- Ensure ethical conduct & social responsibility
- Sustainable growth, better risk management

2. Principles & Pillars

- **Fairness** → equal treatment of all shareholders incl. minority
- **Transparency** → timely, accurate disclosure of facts
- **Accountability** → board answerable to shareholders
- **Responsibility** → towards stakeholders, law, society
- Mnemonic: **F-T-A-R** (Fair, Transparent, Accountable, Responsible)

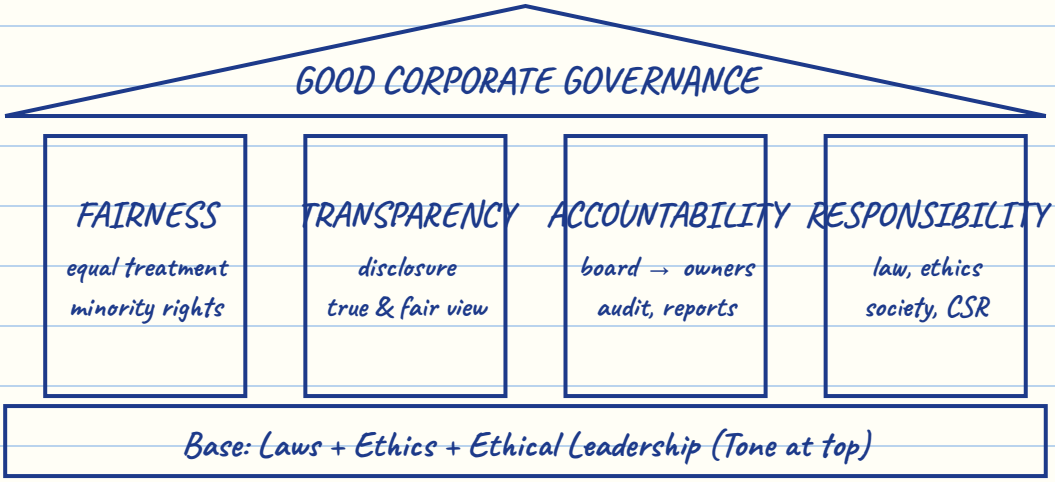


Fig 1: Principles / pillars of corporate governance

Theories of Corporate Governance (brief)

Theory	Idea	Implication
Agency (Jensen & Meckling)	Owner = principal, manager = agent; interests conflict	Monitoring, audit, incentives (ESOPs), independent directors
Stewardship (Donaldson & Davis)	Managers are trustworthy stewards of firm	Empower management; CEO-chair combined acceptable
Stakeholder (Freeman)	Firm owes duty to all groups, not only owners	CSR, employee/customer/community interest

Parties in Corporate Governance

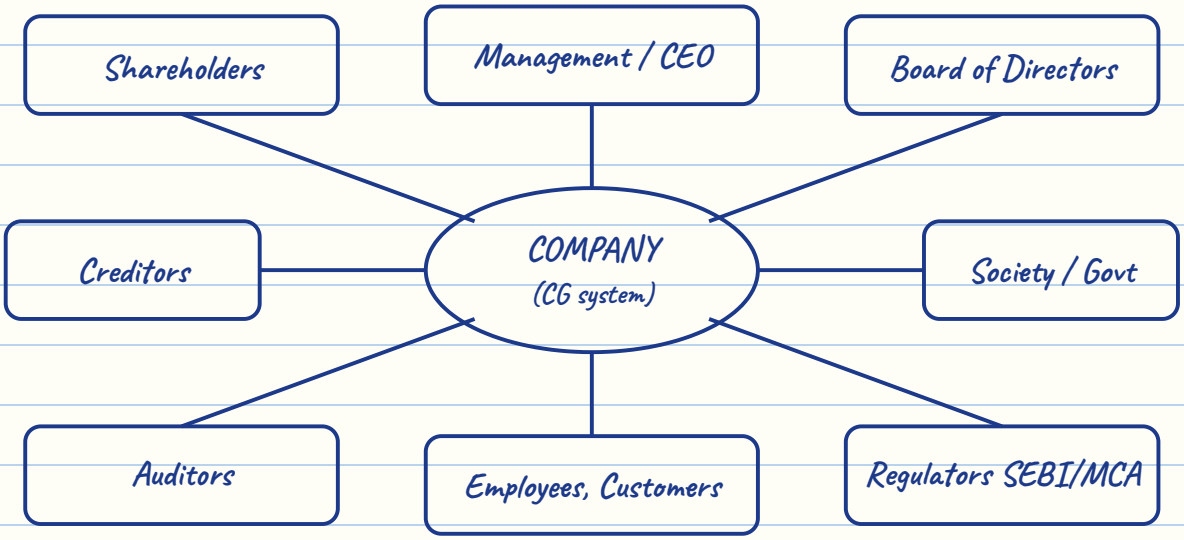


Fig 2: Parties / participants in corporate governance

3. Corporate Governance Code & Framework in India

➤ India = **mandatory + voluntary** mix, unlike UK "comply or explain"

- Sources: Companies Act 2013, SEBI Act 1992, SEBI LODR 2015, Ind AS, Secretarial Standards (SS-1, SS-2)

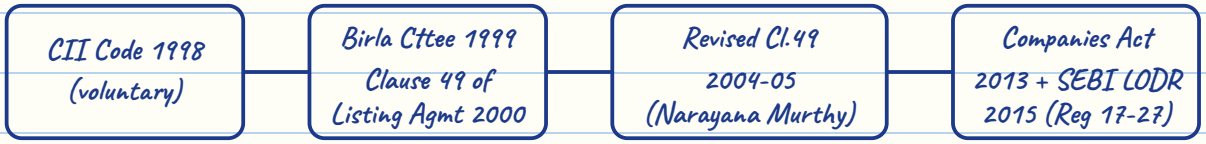


Fig 3: Evolution of India's corporate governance code

- **Clause 49** (2000): board composition, audit committee, CG report, CEO/CFO certification
- Replaced by **SEBI (LODR) Regulations 2015** – effective 1 Dec 2015
- **Companies Act 2013**: s.149 independent directors, s.177 audit cttee, s.178 NRC, s.135 CSR, s.188 related-party, s.177(9) vigil mechanism

4. Transparency & Disclosure

- **Transparency** = openness in decisions; **Disclosure** = making info public (what, when, how)
- Helps investors decide, deters fraud, builds trust

Disclosure tool	Content
Annual Report	Board's report, financials, auditor's report, notes
MD&A	Management Discussion & Analysis: industry, outlook, risks, opportunities
CG Report	Board, committees, meetings, remuneration, compliance (LODR)
Related-party	Transactions with promoters/subsidiaries; approval by audit cttee & shareholders
Financial	Quarterly results (within 45 days), audited annual results
XBRL	Electronic tagged filing of financials with MCA / stock exchanges
Insider info	UPSI & trading window: SEBI (PIT) Regulations 2015
Website	Policies, shareholding pattern, board details, investor contacts

★ Important

- Price-sensitive events → disclose promptly to exchanges (Reg 30 LODR)
- BRSR = non-financial disclosure on ESG (top 1000 listed cos)
- Satyam shows: no real disclosure = collapse

5. Role of Auditors

- Auditor = **watchdog** of shareholders; certifies "true & fair view"

Type	Role / Law
Statutory	Independent audit of financials, s.139-143; appointed by shareholders at AGM
Internal	Checks controls & risk, reports to audit cttee (s.138)
Cost	Cost records of specified industries, s.148
Secretarial	Compliance with corporate laws, s.204 (listed & large cos)

Auditor Independence – key safeguards

- **Rotation** (s.139): individual 5 yrs, firm 10 yrs (two terms of 5) for listed cos; **cooling-off** 5 yrs
- **Non-audit services barred** (s.144): accounting, internal audit, investment advice, etc.
- **Auditor's report** (s.143): opinion + **CARO 2020** (fixed assets, loans, fraud reporting)
- Auditor must report fraud to Central Govt (s.143(12))
- **NFRA** (2018, s.132): independent regulator for audit quality & discipline
- **ICAI**: professional body, sets Standards on Auditing

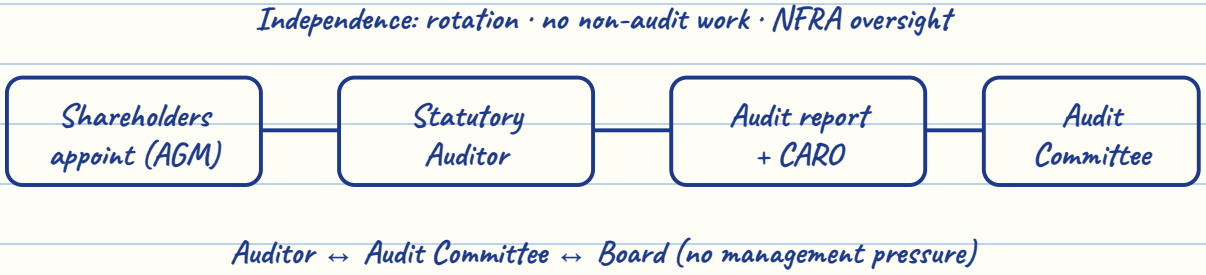


Fig 4: Audit chain and independence safeguards

Audit Committee (s.177 / Reg 18)

- ≥3 directors; **two-thirds independent** (LODR), chair independent; majority independent (Act)
- Reviews financials, auditor appointment/fees, internal controls, related-party deals, whistle-blower

6. Board of Directors

- Board = **apex body**; trustee of shareholders; sets strategy, supervises management

- **Executive** (full-time, e.g., MD/WTD) / **Non-executive** (no day-to-day role) / **Independent** (no pecuniary link, s.149(6))

Composition rules

- Listed co: ≥ **1/3 independent** directors (Companies Act)
- LODR Reg 17: ≥ 50% non-executive; if chairperson non-exec → ≥ 1/3 independent
- If chairperson is executive / promoter-related → **≥ 1/2 independent**
- **≥ 1 woman director**; top 1000 listed cos → ≥ 1 independent woman director
- Max 15 directors (more by special resolution); independent director term 5 yrs ×2 (max 10 yrs)
- Board meets ≥ 4 times a year, gap ≤ 120 days

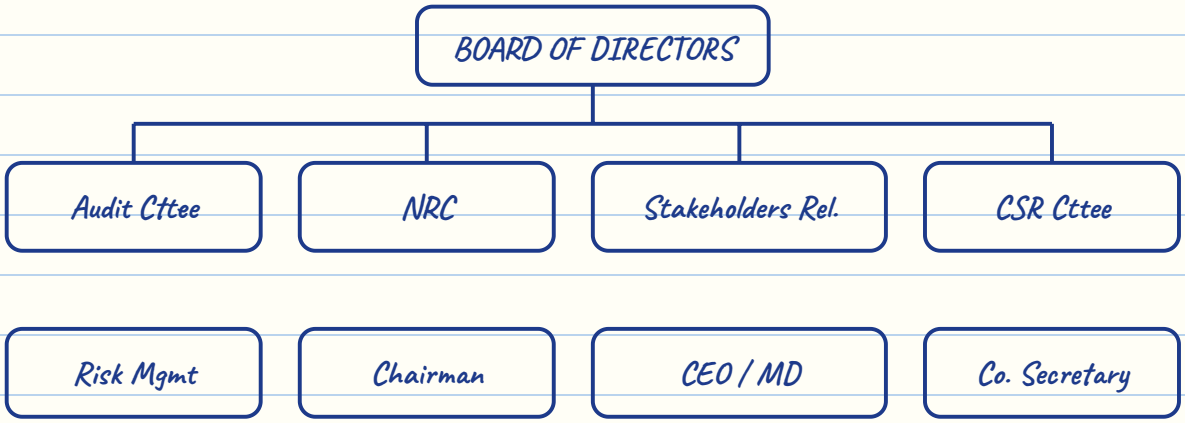


Fig 5: Board and its committees

Committee	Key points
Audit	Financial reporting, internal control, auditors
NRC	Nomination & Remuneration: selects directors/KMP, pay policy, board evaluation (s.178); ≥ ½ independent
Stakeholders Relationship	Grievances of shareholders; chaired by non-exec director
CSR	3+ directors incl. 1 independent; CSR policy (s.135)
Risk Management	Risk framework, cyber security (top 1000 listed cos)

Roles & duties (s.166)

- Act in good faith, due care, skill & diligence; avoid conflict of interest
- No undue gain; do not assign office; exercise independent judgment
- Strategy, policies, risk, appointing KMP, ensuring compliance
- **Separation of Chairman & CEO** → checks concentration of power (Cadbury; Kotak cttee)
- **Board diversity**: gender, skills, age, experience → better decisions

- **Board evaluation**: annual self-evaluation of board, committees, directors (s.134(3)(p)); independent directors meet once a year (Sch IV)

7. Shareholders

Rights	Activism & protection
Vote at AGM, e-voting, proxy	**Shareholder activism**: voting against, questions, litigation
Dividends, transfer of shares	**Institutional investors** (MFs, LIC, FIIs) = strong monitors
Inspect records, get annual report	**Proxy advisors** (IiAS, SES, ISS): advise voting; SEBI-regulated since 2020
Appoint auditors & directors	**Stewardship Code** (SEBI 2019) for MFs/AIFs/insurers
Approve major decisions (RPTs, mergers)	**Minority protection**: s.241-242 oppression & mismanagement (NCLT), class action s.245, small-shareholder director

- **AGM**: once a year, within 6 months of FY end; notice 21 clear days
- **E-voting** (s.108): listed cos let shareholders vote remotely → wider participation
- Duty of shareholders: informed voting, not passive

8. Global Issues in Corporate Governance

- **Globalisation** → cross-listing, MNCs, capital flows need uniform standards
- **Convergence** of codes (OECD, UK, King, SOX) towards common principles
- **IFRS vs Ind AS**: Ind AS = India's converged standards (largely IFRS-aligned, with carve-outs); aids comparability
- **Cross-border scams**: Wirecard, Lehman → need for regulator cooperation (IOSCO)
- **ESG & sustainability**: climate, social, governance; BRSR (SEBI) mandatory for top 1000 listed cos
- **Board diversity** (gender, culture) – global push
- **Cyber risk** & data privacy → board responsibility
- Executive pay, activism, whistle-blowing, family/promoter control

9. Accounting & Regulatory Framework

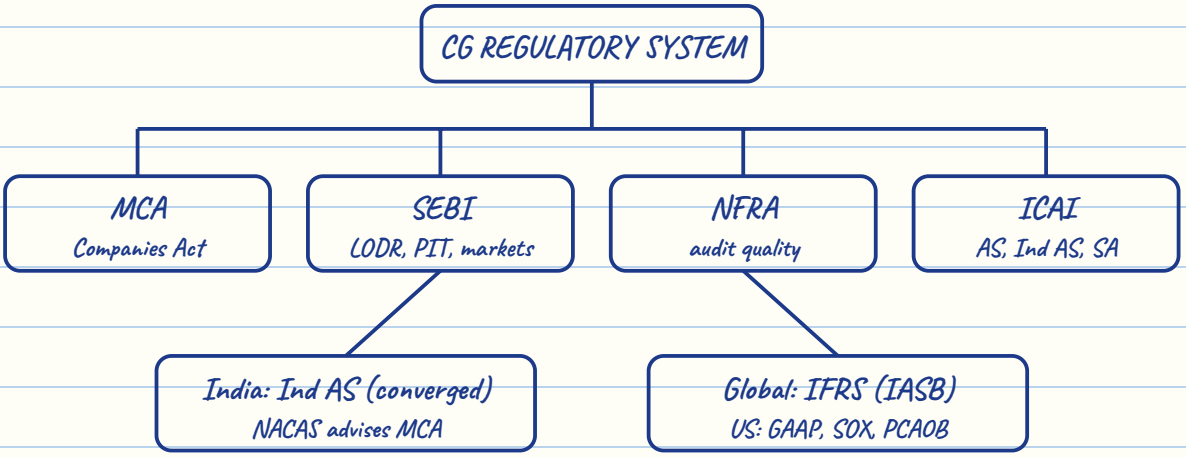


Fig 6: Accounting & regulatory framework

- **MCA** → Companies Act 2013, ROC, SFIO (fraud probe), NCLT
- **SEBI** → listed cos, LODR, insider trading, takeovers
- **ICAI** → accounting & auditing standards; **NFRA** → enforcement
- **SOX 2002 (USA)** → **PCAOB** oversees auditors of public companies
- **IFRS** by IASB → used in 140+ jurisdictions (approx.)

10. Corporate Scams – Case Table

Case	What happened / why	Lesson
Enron 2001 (USA)	Hid debt via SPEs, inflated profits; bankruptcy; auditor **Arthur Andersen** collapsed (shredding docs)	Auditor independence → SOX 2002
WorldCom 2002	Line costs capitalised as assets; profits overstated by billions; CEO Ebbers jailed	Internal audit, CEO/CFO certification
Lehman 2008	Excess leverage; "Repo 105" to hide debt; largest US bankruptcy	Risk mgmt, Dodd-Frank 2010
Satyam 2009	**B. Ramalinga Raju** confessed to ~Rs 7,000 cr fake cash/profits; auditor PwC faulted	Independent directors, audit, whistle-blower; NFRA idea
Harshad Mehta 1992	Bank-receipt (BR) & repo fraud used inter-bank funds in stocks; ~Rs 4,000-5,000 cr	SEBI given statutory powers (1992)
Ketan Parekh 2001	Price rigging "K-10" stocks, circular trades, bank funds	Surveillance, margin rules, carve-out of badla
Kingfisher / Mallya	Huge bank loans (~Rs 9,000 cr) defaulted; promoter fled	Lender due diligence; Fugitive Economic Offenders Act 2018
PNB–Nirav Modi 2018	Fraudulent LoUs via SWIFT; ~Rs 11,000+ cr; weak bank controls	Bank internal control, auditor/CBS checks
IL&FS 2018	Debt defaults (~Rs 90,000 cr); poor board oversight, rating & audit lapses; govt superseded board	NBFC governance, auditor accountability
Tata–Mistry 2016	Chairman Cyrus Mistry removed; promoter vs board power; SC ruled for Tata (2021)	Promoter-board relation, minority rights
Carillion 2018 / Wirecard 2020	UK builder aggressive accounting; German fintech missing ~€1.9 bn	Auditor scrutiny, regulator failure

★ *Important*

- Common causes: greed, weak board, auditor failure, promoter dominance, no whistle-blowing
- Mnemonic: **E-W-L-S** = Enron, WorldCom, Lehman, Satyam

II. Committees on Corporate Governance

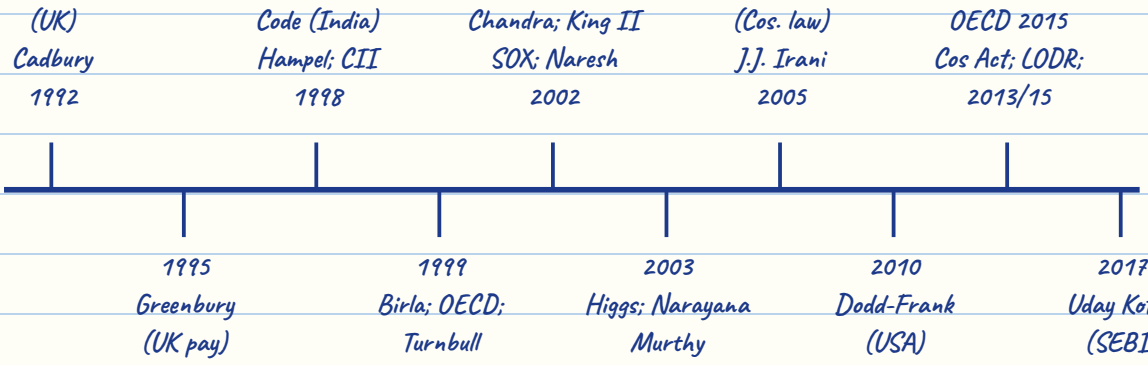


Fig 7: Timeline of major committees & codes

Indian Committees

Committee (Year)	Chair / Body	Key recommendations
CII Code (1998)	Rahul Bajaj; CII	First voluntary code: ≥⅓ non-exec directors, audit cttee, info to board, limit on directorships
Kumar Mangalam Birla (1999)	SEBI	Mandatory/non-mandatory recs; ≥ ½ non-exec; audit cttee (3 non-exec); CG report → **Clause 49 (2000)**
Naresh Chandra (2002)	Dept of Company Affairs	Auditor-company relationship, rotation of audit partners, disqualification of auditors, board & audit cttee roles
Narayana Murthy (2003)	SEBI	Audit cttee strengthening, whistle-blower policy, related-party disclosure, risk reporting, training of directors → revised Cl.49
J.J. Irani (2005)	Ministry of Corporate Affairs	Overhaul of company law: simpler law, independent directors, shareholders' democracy → **Companies Act 2013**
Uday Kotak (2017)	SEBI	Min 6 directors in top-500 cos; independent woman director; separate chairman & CEO; board evaluation; stronger ID role; RPT curbs; shareholder voting

Committees & Laws Abroad

Cadbury Committee, UK (1992)

- Chair: **Sir Adrian Cadbury**; formed after Polly Peck, BCCI, Maxwell scandals
- Report: Financial Aspects of Corporate Governance + Code of Best Practice
- **Separate Chairman & CEO** roles
- Min 3 **non-executive directors** (mostly independent)
- Formation of **audit, nomination, remuneration committees**
- Directors' report on internal control & going concern
- **"Comply or explain"** – listed cos disclose compliance

Report / Law	Focus
Greenbury 1995 (UK)	Directors' remuneration: remuneration cttee of NEDs, disclose pay
Hampel 1998 / **Combined Code**	Review of Cadbury & Greenbury; principles over rules; merged into Combined Code (1998)
Turnbull 1999	Internal control & risk guidance for directors
Higgs 2003 (+Smith)	Role of NEDs (half board independent); Smith = audit committees
UK CG Code	Issued by FRC (renamed 2010; updated 2018, 2024); comply or explain
OECD Principles 1999, 2004, 2015	Shareholder rights, equitable treatment, stakeholders, disclosure, board responsibilities (G20/OECD 2015)
King Reports (S. Africa)	King I 1994, II 2002, III 2009, IV 2016 (Mervyn King); inclusive stakeholder approach; "apply and explain" (IV)
Dodd-Frank 2010 (USA)	Post-2008: say-on-pay, whistle-blower rewards, systemic risk, consumer protection

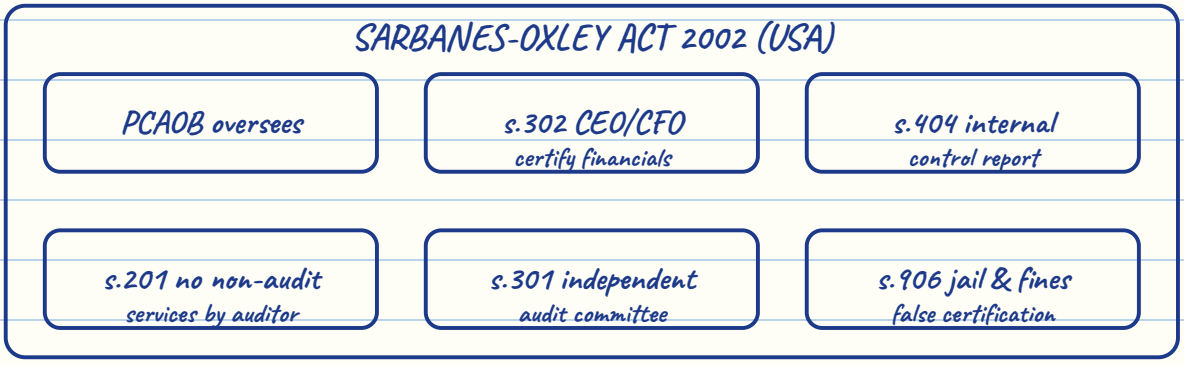


Fig 8: Key provisions of Sarbanes-Oxley Act 2002

- SOX also: lead audit partner rotation every 5 yrs; whistle-blower protection; PCAOB registers & inspects audit firms

12. Corporate Social Responsibility (CSR)

- **CSR** = business contributing to society beyond profit (triple bottom line: people, planet, profit)
- **Section 135 + Schedule VII**, Companies (CSR Policy) Rules 2014 (in force 1 Apr 2014)
- Applies if: net worth ≥ Rs 500 cr **or** turnover ≥ Rs 1000 cr **or** net profit ≥ Rs 5 cr
- **2% rule**: spend ≥ 2% of average net profit of preceding 3 years
- CSR committee (≥3 directors, ≥1 independent); board approves policy
- Areas: education, health, hunger, environment, rural dev, women empowerment
- Unspent amount → transferred to special account / fund (2021 amendment); disclosure in Board report
- Examples: Tata Trusts, Infosys Foundation, Reliance Foundation, Wipro

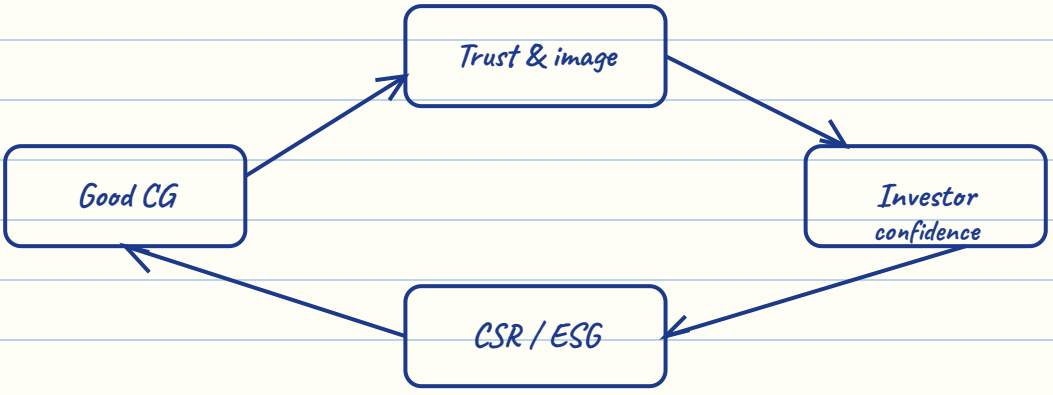


Fig 9: CSR – governance cycle (CG → CSR → reputation → capital → CG)

- CSR = **ethical face** of governance; board owns CSR; transparency in impact reporting

13. Benefits & Limitations

Benefits	Limitations
Investor confidence ↑	High compliance **cost** & time
Lower cost of capital	**Box-ticking** (form over substance)
Transparency & fewer frauds	**"One size fits all"** – burden on small cos
Better risk management	Cannot fully stop fraud (Satyam had ID's!)
Good reputation, brand	Independence of directors doubtful (promoter-picked)
Global market access (FPI, listing)	**Promoter dominance** in India's family firms
Long-term sustainability	Over-regulation may slow decisions

14. Quick Revision & Likely Exam Questions

★ Important

Remember

- Cadbury 1992 = "directed & controlled"; comply or explain
- Birla 1999 → Clause 49 (2000) → LODR 2015
- Murthy 2003 / Naresh Chandra 2002 / Irani 2005 / Kotak 2017
- SOX 2002: s.302, s.404, PCAOB / Dodd-Frank 2010
- 1/3 independent; 1/2 if executive chair; ≥1 woman
- CSR: s.135, 2% of 3-yr avg profit / NFRA 2018

2-Mark Questions

1. Define corporate governance (Cadbury).
2. List the four principles of CG.
3. What is Clause 49?
4. Who is an independent director?
5. Expand NFRA, PCAOB, BRSR, MD&A.
6. What is "comply or explain"?
7. State the CSR spending rule under s.135.

5-Mark Questions

1. Explain principles / theories of corporate governance.
2. Discuss transparency & disclosure requirements.
3. Role of auditors; rotation & independence.
4. Board composition and committees under LODR.
5. Write short notes: Cadbury / Birla / Kotak / SOX.
6. Benefits and limitations of CG.

10-Mark Questions

1. Explain the evolution of corporate governance in India with committees & recommendations.
2. Discuss any three corporate scams (Enron, Satyam, PNB) – causes & lessons.
3. Roles of board, shareholders & auditors in effective governance; global issues.
4. Explain Cadbury, Greenbury, OECD, SOX & King reports.